

Japan Semiconductors

Sony Group Corp

Rating

Market-Perform

Price Target

6758.JP

3,500.00 JPY

SONY

22.00 USD



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Sony: Thoughts on Playstation going all-digital, and fan backlash

The backlash was probably expected, does it matter? Since Sony announced on July 1 that Playstation games would be digital-only from January 2028, there's been considerable - if entirely predictable - pushback from online gamers. A Change.org petition against the decision has 109,400 signatures at the time of writing, while the Playstation tweet announcing the decision has 138mn views, and more replies than likes. While the desire to offset high memory costs represented the obvious driver of Sony's move, we've received questions from investors on backlash impact.

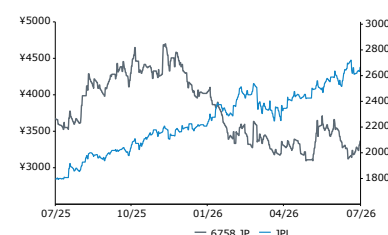
The financial impact of any backlash is likely manageable. To put things in perspective, Playstation generated 11.3% of FY3/26 game sales revenue from physical sales. This equaled just 4.8% of aggregate software revenues including PS Plus and off-platform revenues... and 2.3% of overall Playstation revenue. We estimate physical game sales contributed c. 3-4% of Playstation gross profit last financial year. Assuming Playstation permanently loses 30% of all physical sales - and the rest convert to digital sales would only have a 3-4% negative impact on normalised Playstation operating profit... before considering hardware cost savings. PS Plus cancellations from angry fans would actually be more impactful: 5-10% cancellations would imply a mid-single digit cut to normalised operating profit. But in aggregate we're probably talking 2-3% of Sony's group operating profit at risk, in a worst case scenario.

Maybe if gamers had bought more physical games... Physical sales ratios tend to be higher for new games at launch (e.g. 20-30%), but in some ways Playstation's move simply brings video gaming in line with other media formats like video streaming and music, where physical editions are the domain of niche collectors. Instead of accusing preservationists and others protesting the decision of Luddism, we'll simply note that the industry has already mostly moved on, at least financially, from physical distribution. GTA VI won't have a physical edition at launch, and the new Steam Machine (released two days before Playstation's announcement) comes with no physical disc drive. For physical media purists, there's always Nintendo's game key cards...

Close Date	3 Jul 2026
6758.JP Close Price (JPY)	3,380.00
Price Target (JPY)	3,500.00
Upside/(Downside)	4%
52-Week Range	4,776.00/3,043.00
JPL	2,655.16
FYE	Mar
Div Yield	1.0%
Market Cap (JPY) (B)	20,162.77
EV (JPY) (B)	20,018.14
Performance	YTD 1M 6M 12M
Absolute (%)	(16.0) (4.5) (16.0) (5.1)
JPL (%)	20.3 2.5 15.5 46.1
Relative (%)	(36.3) (7.0) (31.5) (51.2)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
6758.JP (JPY)	171.30	198.75	207.66	Revenues (M)	12,480*	13,126*	13,404*	3.6%	Reported P/E (x)	19.7	17.0	16.3
SONY (USD)	1.08	1.25	1.30	EBIT (M)	1,448*	1,632*	1,664*	7.2%	EV/EBIT (x)	13.8	12.3	12.0
									EV/EBITDA (x)	9.0	8.2	8.3

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

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No country for old men. It feels telling the official Playstation Twitter/X account has been silent since July 1, but we'd be shocked if the online backlash ended up impacting Sony's decision-making. If the emotional arguments against abandoning physical media boil down to "it's always been this way", or consumer choice in the abstract sense, then the facts of the business show that consumers have mostly chosen digital for a long time. Repeat game sales on console are overwhelmingly digital. Steam has outgrown the PC market for years as a digital-first ecosystem, and we're still sometimes reminded by investors that the kids just play Roblox. More pragmatically, even the loss of some physical sales at launch might be excusable given publishers avoid paying retailer margins on sales that convert to digital, and gain more control over repeat pricing. We're obviously biased, but it feels hard to fault the video gaming industry for taking price, considering it's long remained the cheapest form of entertainment on a per-hour basis.

Implications for PS6. In our view, Sony's announcement all but confirms that (1) the PS6 won't launch before January 2028 (our base case is an early 2028 announcement for launch during the holiday period that year); and (2) Sony's next-generation console will come without a disc drive. There's some irony in the fact that the video game console that got its start thanks to (at the time revolutionary...) CD-ROMs became the one to abandon physical media... as opposed to, say, Xbox. But a single digital-only PS6 SKU should on the margin be positive for hardware margins. Our base case remains a PS5-to-PS6 transition that lasts at least as long as the PS4-to-PS5 one, given the impact of high memory costs, and the diminishing impact graphical fidelity now has on game quality.

INVESTMENT IMPLICATIONS

We rate Sony Market-Perform (PT ¥3,500).

BERNSTEIN TICKER TABLE

			3 Jul 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
6758.JP (Sony)	M	JPY	3,380.00	3,500.00	(51.2)%	JPY	171.30	198.75	207.66	19.7	17.0	16.3
SONY (Sony)	M	USD	20.79	22.00	(35.8)%	USD	1.08	1.25	1.30	19.3	16.6	16.0
JPL			2,655.16									
SPX			7,483.24									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We have a ¥3,500 price target for Sony, based on a 17x P/E multiple of Q5-8 EPS, estimated at ¥208. We value the Sony ADR by converting the JPY price to USD based on an exchange rate of 159.21.

RISKS**Sony Group Corp**

Upside risks to our Sony target price: (1) A smaller-than-expected memory price hike; (2) A smaller-than-expected share loss to Samsung in Apple CIS orders; (3) Stronger-than-expected game software sales. Downside risks: (1) Fewer mobile/auto CIS sales or larger share loss in CIS market; (2) Slowdown of music streaming market growth or less profit sharing from streaming; (3) Management risk and competition in anime streaming or insufficient successful anime works in the future.

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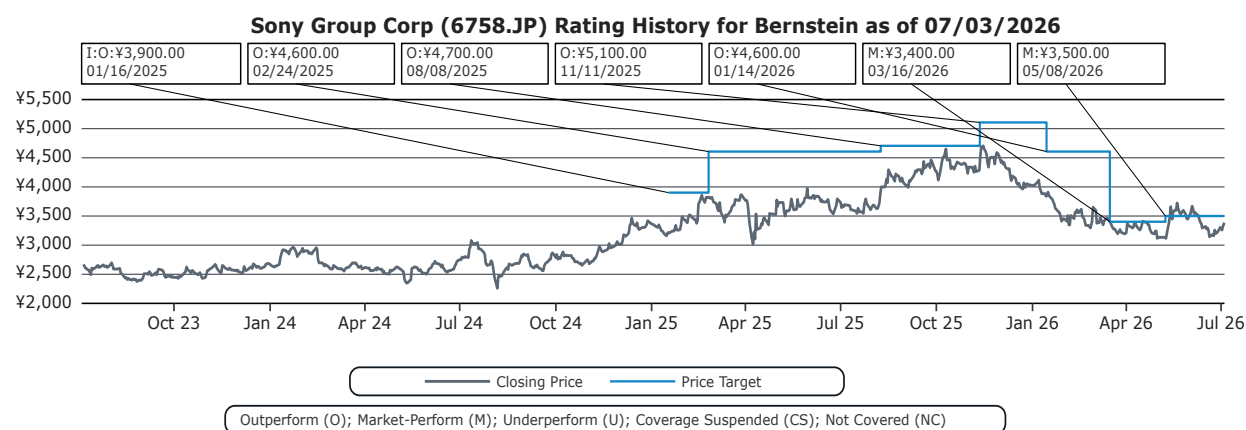
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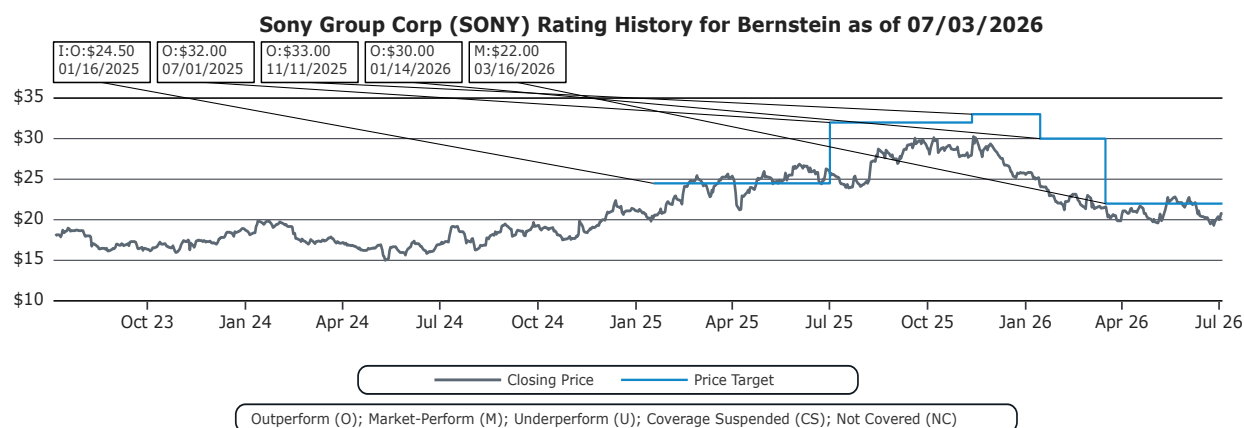
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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